What Does the Financial Market Pricing Do?

A Simulation Analysis with a View to Systemic Volatility, Exuberance and Vagary

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Abstract

Biondi et al. (Physica A, 2012; JEIC 2014) develop an analytical model to examine the emergent dynamic properties of share market price formation over time, capable to capture important stylized facts. These latter properties prove to be sensitive to regulatory regimes for fundamental information provision, as well as to market confidence conditions among actual and potential investors. Regimes based upon mark-to-market (fair value) measurement of traded security, while generating higher linear correlation between market prices and fundamental signals, also involve higher market instability and volatility. These regimes also incur more relevant episodes of market exuberance and vagary in some regions of the market confidence space, where lower market liquidity further occurs.

Keywords: financial regulation, asset pricing, financial bubbles, market exuberance, market microstructure, common knowledge

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